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China/Hong Kong Consumer | Asia Pacific

China Broader Consumption Trip – Key Takeaways

Overall consumption trends remain muted, with generally bumpy monthly momentum. Our trip reaffirmed our constructive view on Mengniu, Yili and YUMC.

Key Takeaways

- We still expect a soft consumption recovery. During the trip, dairy stood out as the most resilient category; YUMC could see sequential improvement in 2Q.
- Broad pricing recovery has yet to emerge. Companies continue to focus on operating efficiency and product mix to mitigate cost pressures.
- We expect cost pressure to become more visible from late 2Q into 3Q for the beverage category.
- On the positive side, leading companies across major segments are shifting from simple price competition toward product and service differentiation.

During the trip, we met companies across the dairy segment – Yili (600887.SS, OW), Mengniu (2319.OW), Feihe (6186.HK, non-covered); restaurants/freshly-brewed drinks – YUMC (YUMC.N, OW), Green Tea (6831.HK, non-covered), Guming (1364.HK, non-covered); F&B – Tingyi (0322.HK, EW), Weilong (9985.HK, OW); Beauty – Proya (603605.SS, OW), Chicmax (2145.HK, non-covered); Gold & Jewelry – Laopu (6181.HK, OW), Shanghai Yuyuan (600655.SS, non-covered); and IP & Toy products – Bloks (0325.HK, non-covered).

Dairy: Liquid milk momentum remained healthy into April. Both Mengniu and Yili target liquid milk to resume growth in 2026 and expect market share gains from smaller players amid potential recovery of raw milk prices.

- **Mengniu (2319.HK, OW):** Targeting mid-single-digit sales growth in 2026. In 1Q26, Milk Deluxe delivered double-digit growth, while basic milk grew at a mid- to high-single-digit pace, and this momentum largely continued in April. Bulk raw milk prices have stabilized. The company sees limited GPM upside in 2026 and targets flat YoY OPM through operating efficiency. Capex will stay below Rmb2bn, and DPS will be stable or higher in 2026.
- **Yili (600887.SS, OW):** Maintaining ~5% sales growth target in 2026, with positive growth in UHT milk, mid- to high-single-digit growth in IMF with market share gains, and double-digit growth in adult milk powder. Liquid milk sell-through remained healthy in Apr–May, with low inventory levels. Yili targets GPM improvement in 2026, mainly driven by product mix. Selling expense ratio likely to increase slightly with NPM target flat YoY.

See the following page for more feedback on the QSR (YUMC), F&B (Tingyi), gold & jewelry (Laopu) and freshly brewed beverages market segments.

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QSR: Yum China (YUMC.N, OW): Quarter-to-date SSSG is in line with the company's expectations, with sequential improvement expected in 2Q vs 1Q. The school spring vacation ahead of the Labor Day holiday supported April performance. YUMC notes resilient demand following partial price hikes for its delivery products from the start of the year. YoY margin pressure should ease from 2Q onwards off last year's high cost base, with YoY restaurant margin improvement expected in 2026. Delivery will continue to grow through the rest of the year, albeit at a slower pace than in previous quarters.

F&B (Tingyi, 0322.HK, EW): Targeting low-single-digit % YoY sales growth in 2026. YTD performance remains broadly on track, with both noodles and beverages growing within this range. In beverages, tea products are expected to outperform, while water remains under pressure. Competition remains intense across the segment, with margin pressure expected in 2Q–3Q as the company begins sourcing PET at market prices from June and expects elevated PET prices through 3Q. For noodles, Tingyi expects relatively stable sales and profit momentum and notes manageable costs. The company targets a 100% payout ratio.

Gold & jewelry: Demand growth improved sequentially in May as gold prices stabilized following volatility in 1Q26. Going forward, gold price stability will likely remain the key driver of demand. Competition is intensifying as traditional brands target the high-end segment, expand into luxury malls, and compete for skilled OEM craftsmen.

- **Laopu (6181.HK, OW):** Demand momentum improved sequentially in May. While 2Q26 demand momentum is still slightly below our expectations, margin expansion is much stronger.
- **Shanghai Yuyuan Tourist Mart (600655.SS, non-covered):** As a landlord, it is introducing more heritage gold brands at its retail property. As brand owner of Laomiao, it seeks to upgrade the brand with more high-end product offerings and upgrade store formats alongside closing low-end stores to focus more on the high-end spectrum.

Freshly brewed beverages: Pressure persists in 2Q–3Q26 due to a high base from last year and milder delivery platform subsidies. Competition focuses more on product innovation than price, with industry pricing largely stable.

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/15/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$76.25
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.28
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.90
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb21.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$29.32
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$13.47
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$26.14
Li Ning (2331.HK)	O (10/09/2019)	HK\$18.72

Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$61.60
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$152.40
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb56.12
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$14.61
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb19.06
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.48
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$2.96
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$8.87
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.66
Hildy Ling		
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb122.12
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$57.10
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb59.00
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.09
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.63
Ecovacs Robotics Co Ltd (603486.SS)	E (10/30/2023)	Rmb65.15
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.81
Foshan Haitian Flavouring and Food (3288.HK)	O (07/28/2025)	HK\$32.42
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$14.68
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb17.92
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$567.50
Super Hi (HDL.O)	E (01/14/2025)	US\$14.83
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb48.40
Lillian Lou		
Angel Yeast Co. Ltd. (600298.SS)	O (02/20/2025)	Rmb36.25
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb97.62
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$7.76
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$9.84
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.72
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$26.68
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb52.44
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb186.09
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$169.10
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	O (04/14/2020)	Rmb40.28
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb21.40
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.04
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,332.95
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb91.00
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$91.65
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb82.57
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$39.26
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb42.50
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$43.66
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb131.41
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb26.58
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$12.43
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$51.95
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb61.76
Uni-President China (0220.HK)	E (07/25/2025)	HK\$8.12
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$4.27
WH Group (0288.HK)	O (02/24/2025)	HK\$9.41
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb86.87
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb45.95
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb12.27
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb27.61

Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$45.51
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.99
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$17.80
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$6.10
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb42.79
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb34.70
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb38.16
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK\$46.50
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$14.76
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$118.00
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$14.98

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.